Formulas and questions

1. The formula for the present value of an annuity is:

   PV = PMT * [(1 - (1 + r)^-n) / r]

Where:

- PV = Present Value
- PMT = Payment per period
- r = Interest rate per period
- n = Total number of payments

Question : Company named ABC Ltd has a lease for 05 years with a monthly payment of $8000 which is paid in advance. The current discount rate applied is 5% and the lease start date is 01st of January 2025 onwards.

1. Calculate the Lease Liability?
2. Present value of monthly payments over 5 years and the Right-of-Use Asset?